EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 61,800 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and value for money were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2017. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2017 with comparative figures for CY 2016 are as follows:

	2017	**2016**	**Increase/(Decrease)**
Assets	P487,601,961.51	P 440,162,382.44	P 105,302,266.14
Liabilities	153,696,486.06	131,210,148.17	76,811,331.50
Government Equity	487,499,202.78	308,952,234.27	28,490,934.64
Income	203,867,479.85	200,616,908.72	3,250,571.13
Expense	160,382,786.16	142,909,325.54	17,473,460.62
Appropriation	291,217,657.34	206,882,877.24	84,334,780.10
Obligation	226,548,502.54	147,842,219.27	78,706,283.27

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2017 with comparative figures for CY 2016 are shown below:

	2017	**2016**	**Increase/(Decrease)**
Funds Received from Other Agencies:			
NGAs	39,286,448.34	P 28,748,752.00	10,537,696.34
LGUs	1,000,000.00	500,000.00	500,000.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**40,286,448.34**	**P 29,248,752.00**	**11,037,696.34**

	2017	2016	Increase/(Decrease)
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	1,359,658.70	P 5,800,000.00	(4,440,341.30)
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**1,359,658.70**	**P 5,800,000.00**	**(4,440,341.30)**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered an **unqualified opinion** on the fairness of the presentation of financial statements of the LGU Solana, Cagayan as of December 31, 2017.

D. Summary of Significant Audit Observations and Recommendations:

1. **Accounts Payable totaling to P3,482,261.62 had been outstanding for two (2) years or more, contrary to Item 3.2.b of COA Circular 99-004 rendering the account unreliable.**

   We recommended that the Local Chief Executive require the Municipal Accountant to review and analyze the Accounts Payable which had been outstanding for two years or more. If upon the review, the condition of reversion exists to disclose it on the Notes to Financial Statements.

2. **The Bids and Awards Committee declared the contractors/suppliers in the procurement of various goods and infrastructure projects of the LGU as a responsive bidder even if the contractor failed to comply with the Statement of the bidder's Single Largest Completed Contract, an eligibility requirement, which is contrary to the provisions of Section 23 of the Revised Implementing Rules and Regulations of RA No. 9184. Hence, the contractor should have been disqualified in the bidding.**

   We recommended that the Bids and Awards Committee carefully review the changes in the provisions of the Revised Implementing Rules and Regulations of R. A. 9184 and ensure that all of its provisions are followed in bidding for various procurement projects of the LGU. Further, the Bids and Awards Committee should assess thoroughly the documents submitted by prospective bidders to ensure that they pass all eligibility criteria.

3. **Contractor's All Risk Insurance (CARI) was not required by the Bids and Awards Committee even if the same was stipulated in the General Conditions of the Contract of the Philippine Bidding Documents for Infrastructure Projects, hence, the contractor's risk was not properly covered and readily enforceable.**

We recommended that the Bids and Awards Committee (BAC) include in the bidding documents for the procurement of the LGU's infrastructure project, the Contractor's All Risk Insurance (CARI) as an additional requirement to be submitted by the winning bidder prior to the execution of the Contract pursuant to the provisions of the General Conditions of the Contract of the Philippine Bidding Documents, 5th Edition and to ensure that the contractor's risk is properly covered and readily enforceable.

4. **The Construction Safety and Health Program submitted by the winning bidder to support and form part of the contract was not with the approval of the Department of Labor and Employment (DOLE) which is not in accord with Section 37.2.3 of the Revised Implementing Rules and Regulations of RA 9184 and pertinent provisions of Department Order No. 13, series of 1998 of DOLE.**

   We recommended that the Bids and Awards Committee require the winning bidder for the procurement of infrastructure projects of the LGU to submit its Construction Safety and Health program duly approved by the Department of Labor and Employment pursuant to Section 37.2.3 of the Revised IRR of RA 9184 and Department Order no. 13, series of 1998 of DOLE.

5. **The Municipality failed to utilize and implement a project funded on its share (LGU) from the Burley and Native Tobacco Excise Tax for Calendar Years 2008-2010, 2012 and 2013 amounting to P9,793,483.00, hence, the program and project for its purpose that was not implemented deprived the intended beneficiaries the immediate benefits that could have been derived therefrom.**

   We recommended that concerned municipal officials implement the programmed project funded by the share of the municipality from the Burley and Native Tobacco Excise Tax to optimize utilization thereof and timely brings the desired benefits to the intended beneficiaries pursuant to Section 8(b) of Republic Act 8240, and Local Budget Memorandum 69.

6. **Three (3) out of the ten (10) planned programs and projects to be funded out of the 20% Local Development Fund were not implemented as at December 31, 2017, hence, socio-economic benefits and services due to the Municipality's constituents were delayed.**

   We recommended that the concerned departments fast track the implementation of all the unfinished or unimplemented programs, projects and activities covering the year 2017 under their jurisdiction as identified by the Municipal Development Council to address the needs of its constituents.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	P 0.00	P 0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P17,378,943.64**	**P 0.00**	**P 0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P787,650.52	P 0.00	P 0.00	P787,650.52	0.00%
Current Year		0.00	0.00	0.00	0.00%
Total	P787,650.52	**P 0.00**	**P 0.00**	P787,650.52	**0.00%**
Charges:					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P 0.00**	**P 0.00**	**P 0.00**	**P 0.00**	**0.00%**

F. Status of Implementation of Prior Years' Audit Recommendations:

Of the 15 prior year's audit recommendations, embodied in the 2016 Annual Audit Report, six (6) were fully implemented, five (5) were partially implemented and four (4) were not implemented.